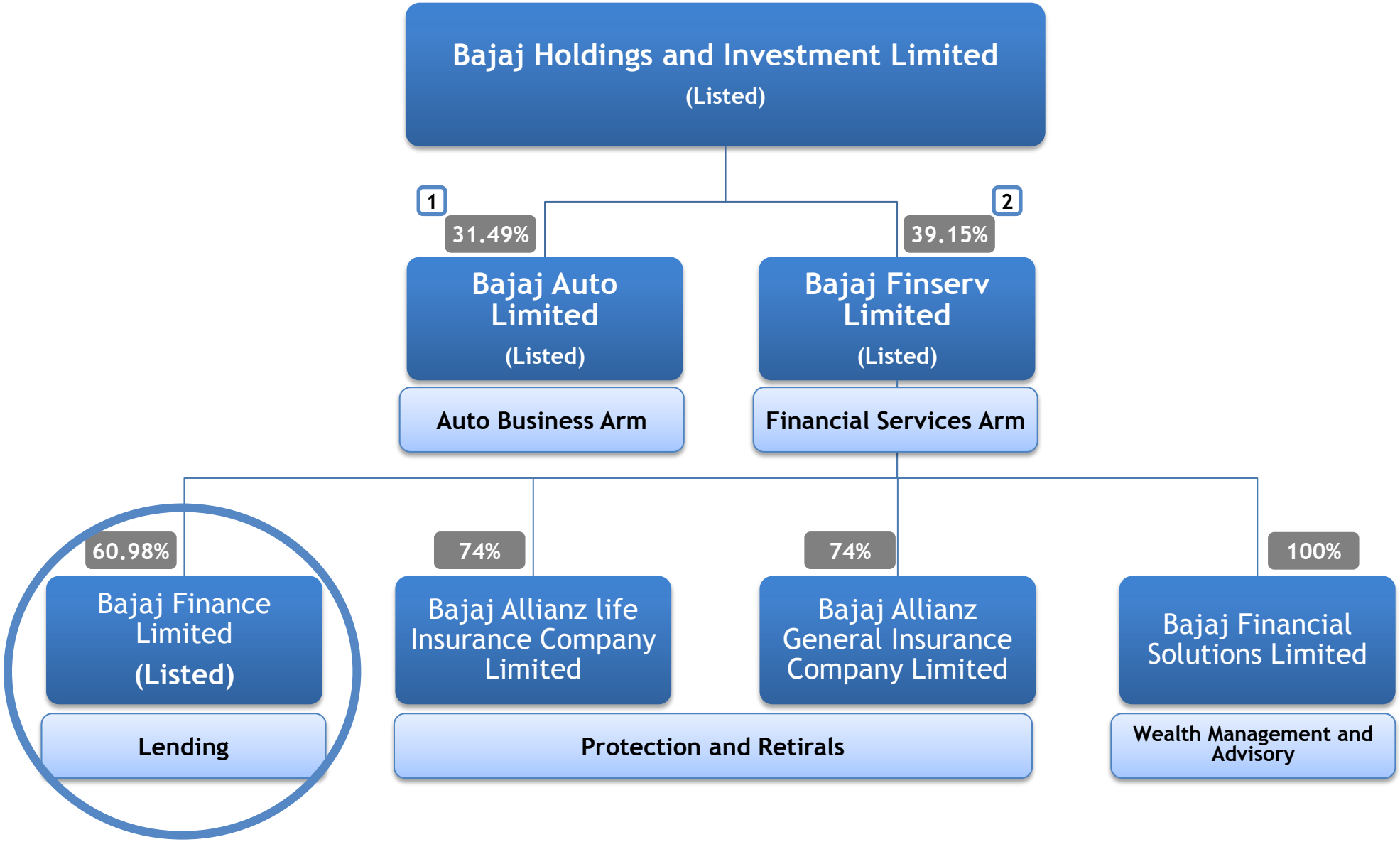


BAJAJ FINSERV | LENDING

# Bajaj Finance Limited
# Q1’13 presentation

***17th July 2012***

# Bajaj Group structure




1. 50.02% holding through promoter holding company & promoter group
2. 58.88% holding through promoter holding company & promoter group

# Bajaj Finserv group – Executive summary

BAJAJ FINSERV LENDING

- A 25 year old non bank finance company
- Diversified consumer, SME & commercial lender in India.
- Credit rating of AA+ with (+) outlook by S&P & Moody's for over 6 years.
- 82 cities presence with over 4,200 distribution franchise.
- Large customer franchise with 2.22 mn clients acquired in FY12.

BAJAJ Allianz

- 2nd largest policy acquirer amongst private insurers.1.05 mn policies in FY12
- 4th largest private sector life insurer in India on new business & gross premium.
- 2nd highest AUM amongst private players. AUM of $7.9 billion as of FY12
- 2nd largest profitable life insurer in private sector in FY12.
- 1,044 Branches with over 173K agents.

BAJAJ FINSERV

Bajaj Finserv is the financial services arm of the Bajaj group with business interest in "Lending", "Protection", and "Wealth management" through its various subsidiaries

BAJAJ Allianz

- 2nd largest Private General Insurer in India.
- Offers a wide range of General insurance viz. Motor, Health & Corporate in India.
- Profitable general insurer since its first full year of operation.
- Best combined ratio in the industry.
- Strong franchise built on fast & efficient customer service.

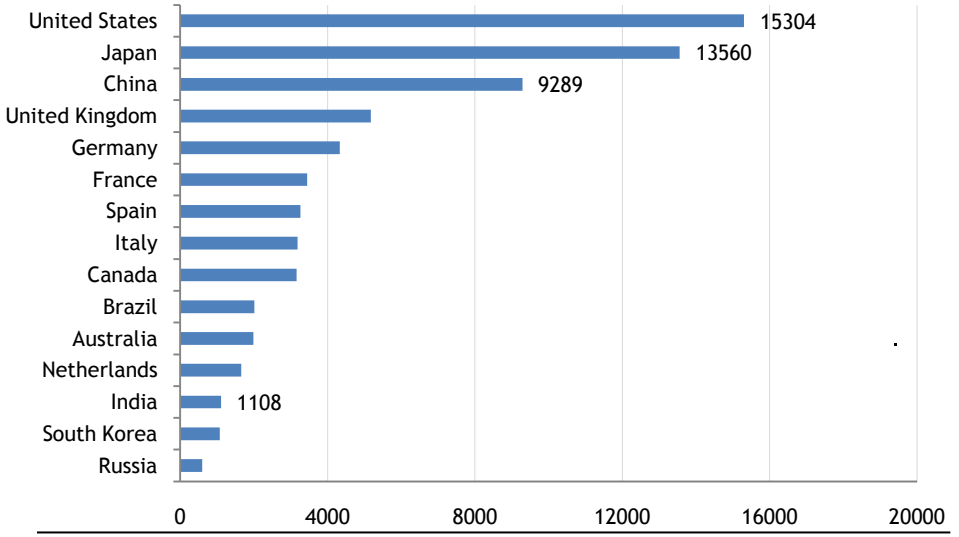
BAJAJ FINSERV WEALTH MANAGEMENT

- A new business diversification for BFS.
- Launched retail financial advisory business in 4 cities in FY11.
- Retail financial advisory business intends to build on a key client need gap of providing financial planning to retail clients in a profitable way.
- Received SEBI approval to launch mutual fund business. Proposed JV with Allianz.

1$ = INR 50

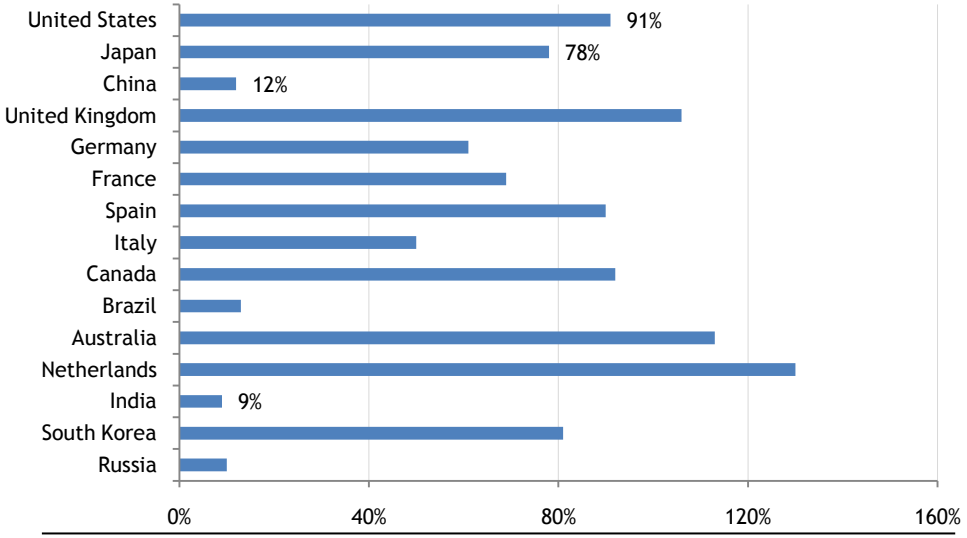
# Lending Industry - Opportunity

## India vs. Advanced Economies - Banking Assets (US$ Bn)



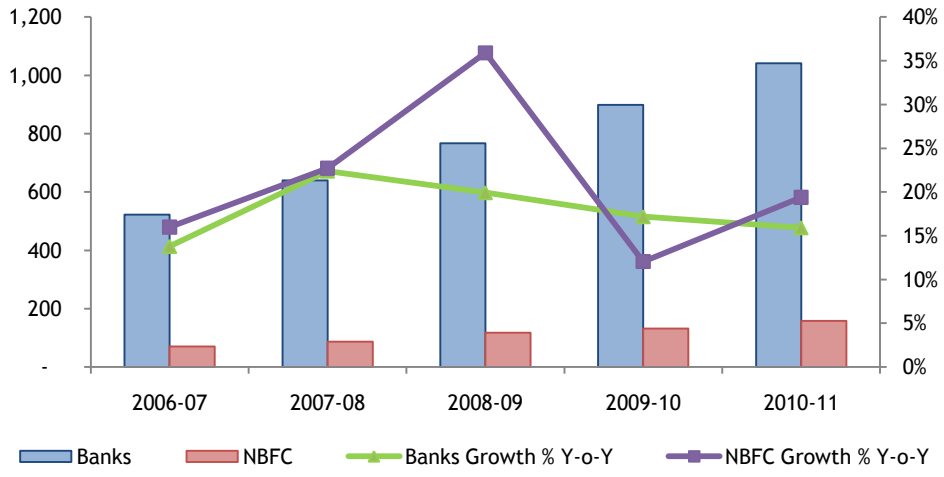

*Source: World Economic Forum Report*

## India vs. Advanced Economies - Consumer Debt/GDP (%)



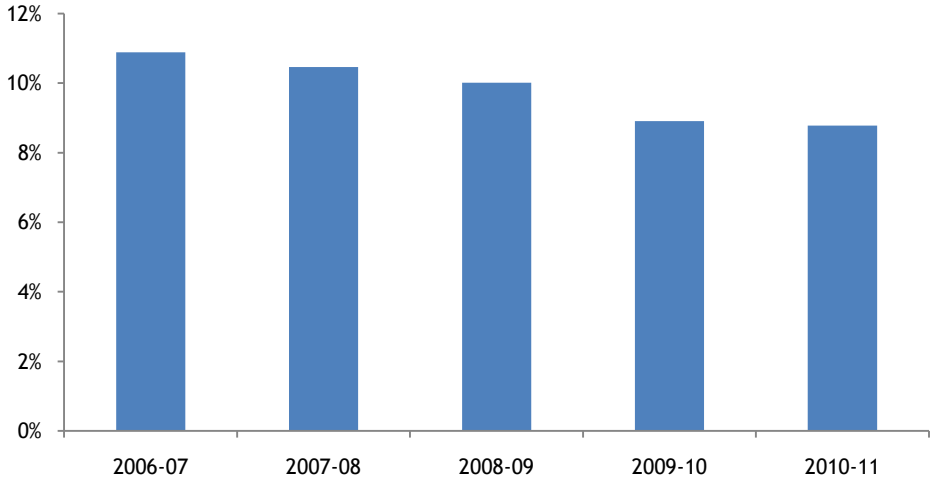

*Source: International Monetary Fund*

## India - Banks & NBFC Assets (US$ Bn)




*Source: Reserve Bank of India*

## India - Consumer Debt/GDP (%)



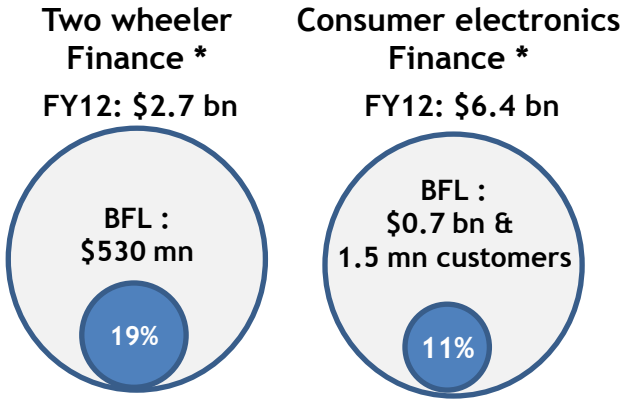

*Source: Reserve Bank of India*

# Executive summary…

- A 25 year old non bank with a demonstrated track record of profitability.
- Focused on Consumer, SME and Commercial lines of businesses spread across nine product lines.
- Strategic business unit organization design supported by horizontal common utility support functions to drive domain expertise, scalability and operating leverage.
- Strategy is to focus on cross sell, customer experience and product & process innovations to create a differentiated & profitable business model.
- As at the end of Q1 FY13, the company has $2.90 billion of Asset Under Management with a net NPA of 0.10% and a capital adequacy of 16.8%. The company in Q1 FY13 has delivered a post tax profit of $27.8 million at a ROE of 6.6%, not annualised.

**Consumer lines of businesses :**

- Largest Two wheeler lender in India focused on semi-urban & rural markets. We contribute to 24% of Bajaj Auto's domestic sales. (chart depicts finance market size and our market share)
- Largest Consumer electronics lender in India. Focused on affluent consumers.LCD industry market share at 20% and LED industry market share at 30% of units sold in India. (chart depicts market size and our market share)







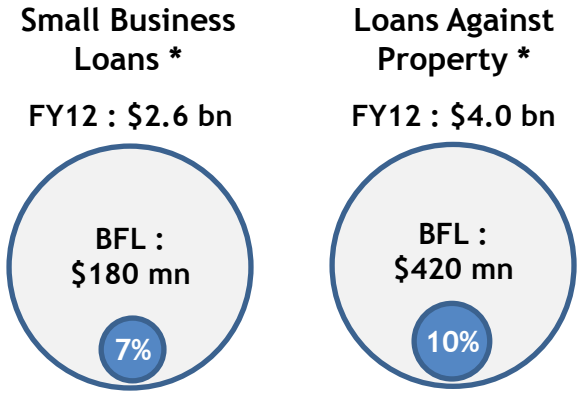
- Amongst a few non banks with an active co-branded Credit Card.
- Amongst the largest new client acquirers in India (0.75 mn in Q1 FY13).

** Source: Internal research, RBI reports, Bloomberg reports*

# Executive summary…

**SME lines of business :**

- Focused on high net worth SMEs with an average annual sales of $5 million with established financials & demonstrated borrowing track records.
- Offer a range of working capital and growth capital products. 85% of the business is secured by mortgages and marketable securities.




**Commercial lines of business:**

- Focused on high growth infrastructure sector in India with a mix of Asset backed financing and Corporate financing solutions.
- Offer wholesale lending products covering short, medium and long term needs of Top 50 vendors of Bajaj Auto Limited.

**Asset liability management:**

- Strategy is to borrow wholesale and lend retail. Current mix of bank & debt markets is at 58:42.

**Credit Quality :**

- Net NPA of 0.10% is amongst the lowest in banking & non banking space. Gross NPA is 1.1%.

**Credit Rating :**

- Consistently holding AA+/stable and LAA+ stable rating from S&P & Moody's over last 6 years, with a positive outlook.

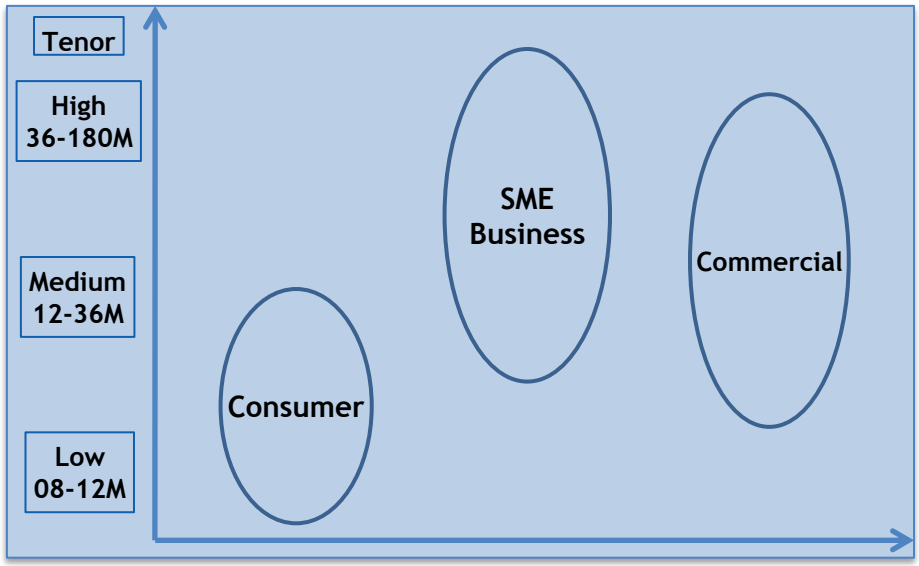


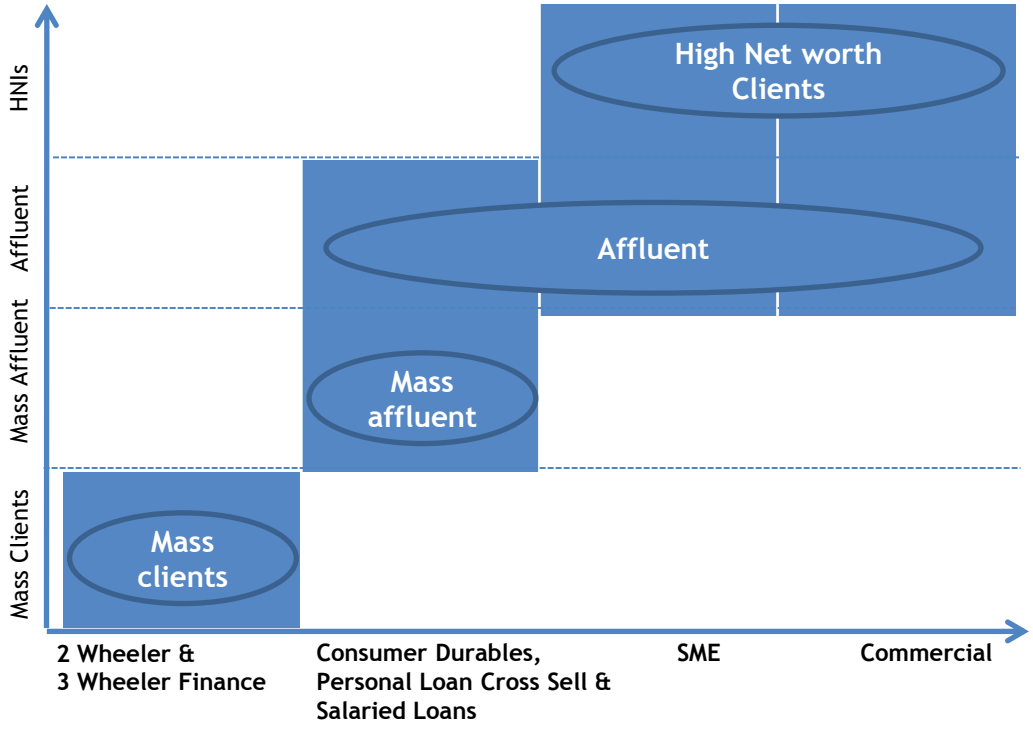
** Source: Internal research, RBI reports, Bloomberg reports*

# Products and Key characteristics

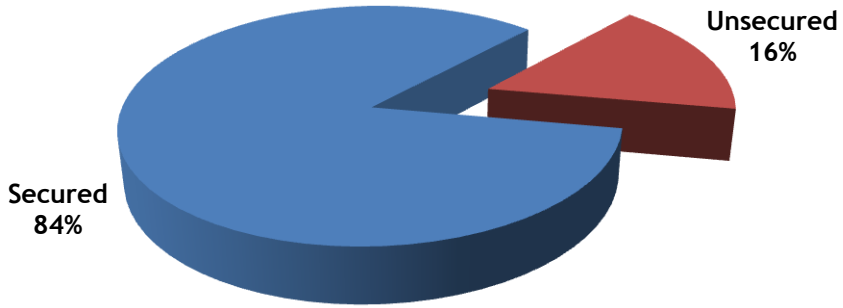
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| Product | Consumer | SME | Commercial |
|---|---|---|---|
| | Consumer Durable Financing | Mortgage - LAP & HL | Construction Equipment Finance |
| | 2 Wheeler & 3 Wheeler Finance | Loan Against Securities | Infrastructure Finance |
| | Personal Loan Cross sell & Salaried Loans | Small Business Loans | Secured Auto vendor Finance |
| | Cross sell - Life/General Insurance, Extended Warranty & Credit Card | | |




## Portfolio composition - Q1 FY13

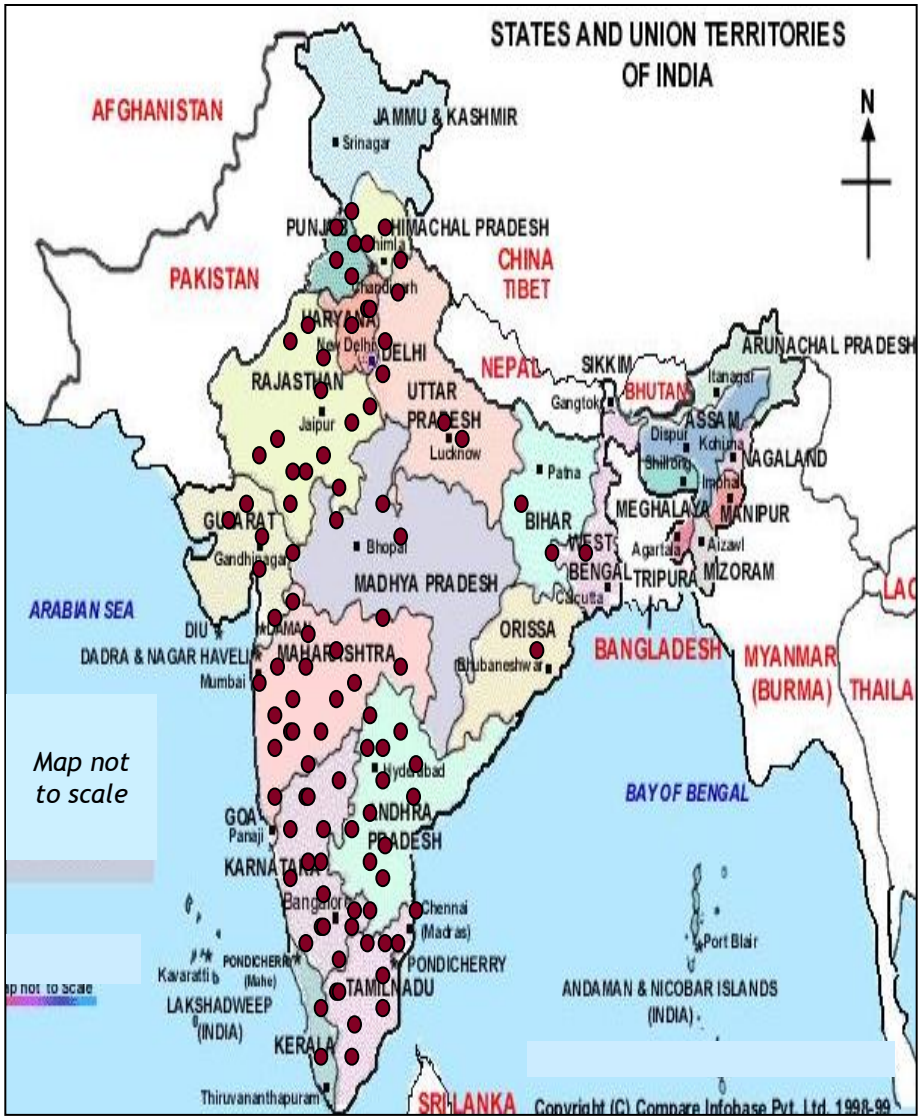



| Segment | Mar'11 | Jun'11 | Sep'11 | Dec'11 | Mar'12 | Jun'12 |
|---|---|---|---|---|---|---|
| Consumer Finance | 44% | 42% | 41% | 40% | 38% | 39% |
| SME Business | 44% | 44% | 45% | 43% | 43% | 45% |
| Commercial | 12% | 14% | 14% | 17% | 19% | 16% |

# Strong distribution reach

BAJAJ FINSERV LENDING

1$ = INR 50




## Geographic presence

| Business Line | FY09 | FY10 | FY11 | FY12 | FY13* |
|---|---|---|---|---|---|
| Sales Finance | 87 | 79 | 79 | 82 | 82 |
| 2W - Hubs | 55 | 54 | 54 | 54 | 54 |
| 2W - Spokes | 200 | 150 | 150 | 150 | 150 |
| Small Businesses | 15 | 15 | 23 | 31 | 31 |

## Distribution

| Business Line | FY09 | FY10 | FY11 | FY12 | FY13* |
|---|---|---|---|---|---|
| Sales Finance - Dealer | 4,500+ | 2,000+ | 2,500+ | 2,800+ | 2800+ |
| 2W- Dealer/ASCs | 1,400+ | 1,275+ | 1,400+ | 1,400+ | 1400+ |
| Small Businesses - Partner | 175+ | 225+ | 250+ | 250+ | 250+ |
| Small Businesses - Support | 175+ | 225+ | 275+ | 275+ | 275+ |

## # of New loans disbursed ('000s)

| Business Line | FY09 | FY10 | FY11 | FY12 | FY13* |
|---|---|---|---|---|---|
| Sales Finance | 352 | 515 | 1,038 | 1,551 | 581 |
| 2W | 219 | 378 | 522 | 654 | 167 |
| Small Businesses | 3.5 | 5 | 9 | 16 | 5 |
| Total | 574 | 897 | 1,560 | 2,221 | 752 |

## Assets under management ($ billion)

| | FY09 | FY10 | FY11 | FY12 | FY13* |
|---|---|---|---|---|---|
| AUM | 0.51 | 0.81 | 1.51 | 2.62 | 2.90 |

** as at / Year to date for the quarter ending*

**Deep distribution, sizeable acquisition engine and growing balance sheet**

# Management discussion

- **Strong start to FY13** aided by strong volume momentum and strong credit performance across Consumer and SME product lines.

- **Consumer businesses continued to outperform** due to high replacement demand for ACs, benign competitive environment and growing need of finance to stimulate sales. Given the high entry barriers to the business, the management continues to remain confident about its consumer business. The company estimates its market share at 12.5% in Q1 against 11% in FY12. **Two Wheeler** business maintained its market share at ~24% of Bajaj Auto's domestic sales. **Personal loan cross sell and Salaried loans business** remained strong. No geographic expansion was undertaken during the quarter.

- **SME businesses** (Mortgages, Business loans & Loans against securities) continued to grow in a healthy manner due to the company's sharp focus on customer segmentation. The company estimates that it is now among the top 4 new loan originators in loans against property and business loans in India. It is now operational in 31 cities. No geographic expansion was undertaken during the quarter.

- **Commercial businesses are in a cautious mode. Construction Equipment** business YoY disbursals were slowed by 30% due to the company's cautious outlook on the sector currently. Overall equipment demand has also slowed considerably in Q1. **Infrastructure Financing** loan book growth has also slowed. There were no new sanctions in infra financing business in Q1. It was a stable quarter for **Vendor Financing business**. The company continues to remain focused on top 50 Bajaj Auto vendors.

# Management discussion

- **Interest cost for the company** continues to remain significantly lower amongst NBFC peers due to its conservative ALM in earlier years. The cost of funds curve for the company is trending to a steady/declining mode. During this quarter, the company received new term loan sanctions of $380 million from banks.

- **Gross and Net NPA** stood at 1.1% and 0.1% respectively, amongst the lowest in the industry. Portfolio metrics across businesses except Construction Equipment continued to remain steady in Q1. Construction Equipment book saw its current receivables portfolio deteriorated by 150 bps sequentially. The business is on a “hold AR” mode for the near term. We have managed to hold the deteriorated book in 01 installment outstanding in Q1.

# Key performance highlights for the quarter

1$ = INR 50

- **Clients** acquired during Q1 FY13 ↑ 38% to 7,52,231 from 5,43,092 in Q1 FY12.
- **EMI cards** sourced during Q1 FY13 are 3,12,534.
- **Deployments** during Q1 FY13 ↑ 32% to $946 mn from $718 mn in Q1 FY12.
- **Total income** for Q1 FY13 ↑ 56% to $141 mn from $90 mn in Q1 FY12.
- **Profit after tax** for Q1 FY13 ↑ 53% to $28 mn from $18 mn in Q1 FY12.
- **Loan losses and provisions** for Q1 FY13 ↓ 6% at $6.4 mn as against $6.8 mn in Q1 FY12. The provisioning coverage ratio stands at 91% as of Q1 FY13 against 78% as of Q1 FY12.
- **Net NPA** for Q1 FY13 stood at 0.10% against 0.46% in Q1 FY12. The Net NPA for Q1 FY13 is the lowest for the Company in the last 5 years.
- **Capital adequacy** ratio as at Q1 FY13 (including Tier-II capital) stood at 16.8%. The Company continues to be well capitalized to support its growth trajectory.

# Summary financial statement

| | | | | $ in million (1$ = INR 50) | | |
|---|---|---|---|---|---|---|
| **Financials snapshot** | **Q1'13** | **Q1'12** | **YoY** | **FY12** | **FY11** | **YoY** |
| Deployments | 946 | 718 | 32% | 3,159 | 1,887 | 67% |
| Assets under finance | 2,750 | 1,706 | 61% | 2,457 | 1,454 | 69% |
| Assets under management (AUM) | **2,897** | **1,805** | **60%** | **2,621** | **1,515** | **73%** |
| Total Interest & fee Income | 141 | 90 | 56% | 434 | 281 | 54% |
| Interest expenses | 53 | 28 | 87% | 149 | 74 | 101% |
| **Net Interest Income (NII)** | **88** | **62** | **41%** | **285** | **207** | **38%** |
| Operating Expenses | 40 | 28 | 42% | 134 | 92 | 46% |
| Loan Losses & Provision | 6 | 7 | -6% | 31 | 41 | -25% |
| **Profit before tax** | **41** | **27** | **53%** | **120** | **74** | **63%** |
| Income tax | 14 | 9 | 54% | 39 | 25 | 59% |
| Profit after tax | **28** | **18** | **53%** | **81** | **49** | **65%** |

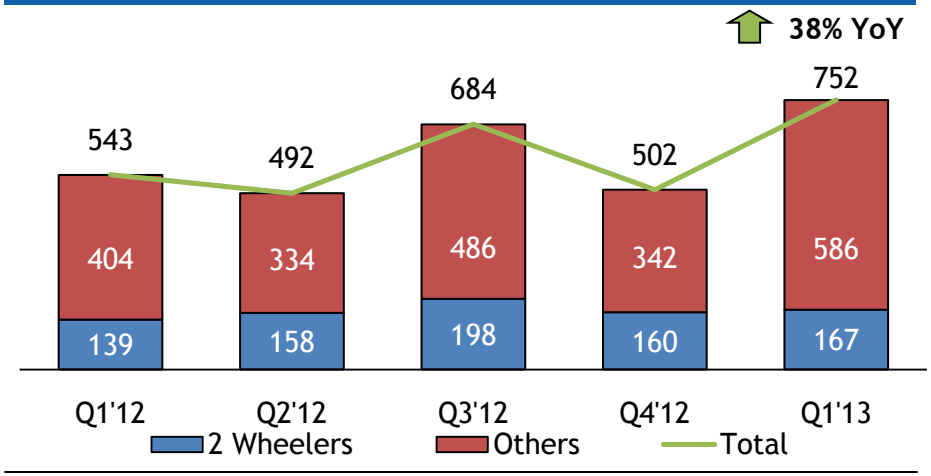
| **Ratios** | **Q1'13** | **Q1'12** | **FY12** | **FY11** |
|---|---|---|---|---|
| Total Opex to NII | 45.8% | 45.7% | 47.0% | 44.5% |
| Loan loss to Assets under finance * | 0.2% | 0.4% | 1.3% | 2.8% |
| Return on Average Asset under finance * | 1.1% | 1.2% | 4.2% | 4.4% |
| Earning per share - Basic ($) * | 0.7 | 0.5 | 2.2 | 1.4 |
| Return on Average Equity * | 6.6% | 6.5% | 23.5% | 19.7% |

* *Quarterly numbers are not annualized*

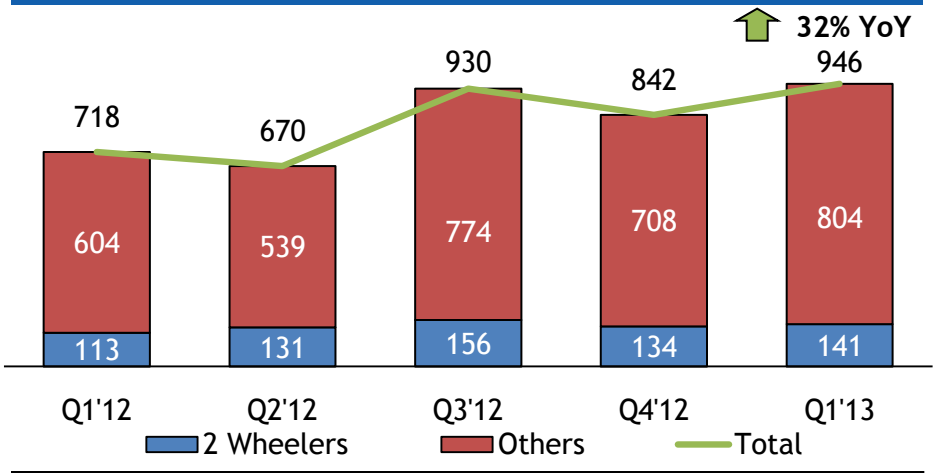
# Financial performance trends Q1-FY13

1$ = INR 50

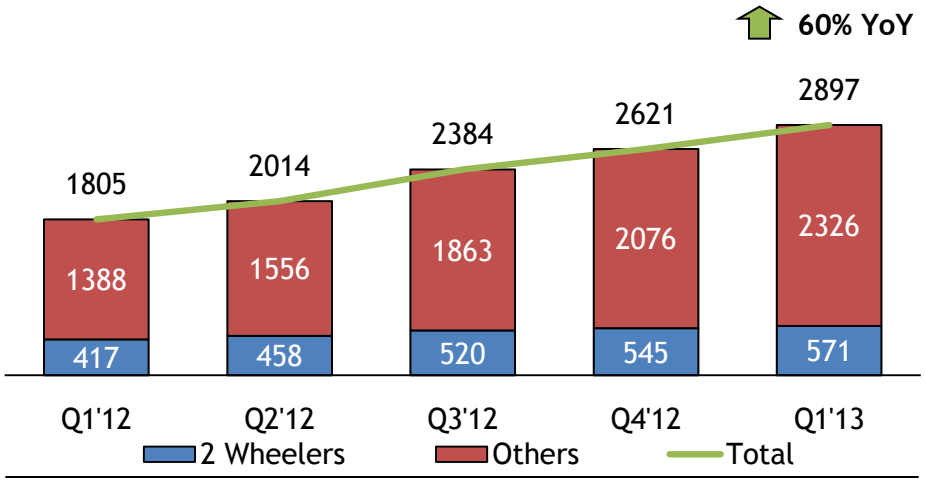
## # of Loans Disbursed ( '000)



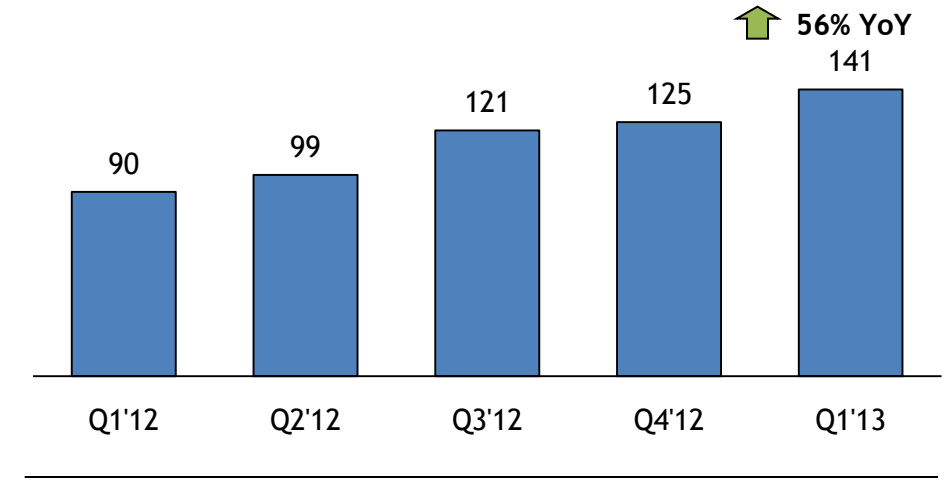

## Disbursements ($ mn)




## AUM ($ mn)



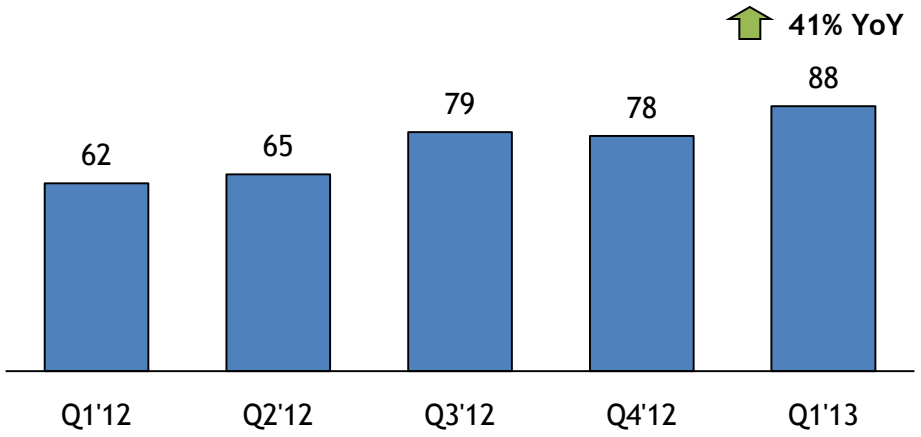

## Revenue ($ mn)



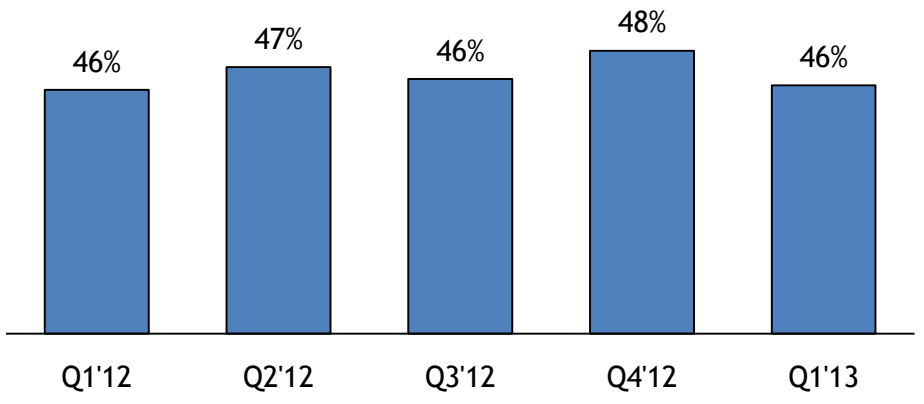
# Financial performance trends Q1-FY13

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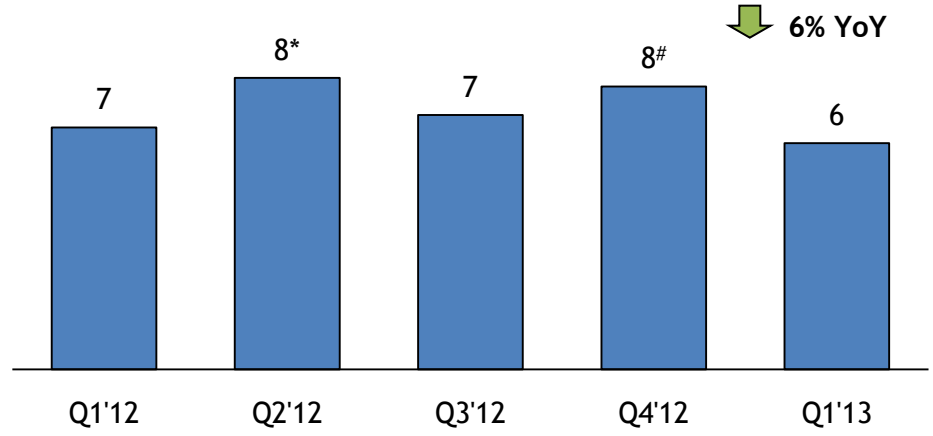
## NII ($ mn)



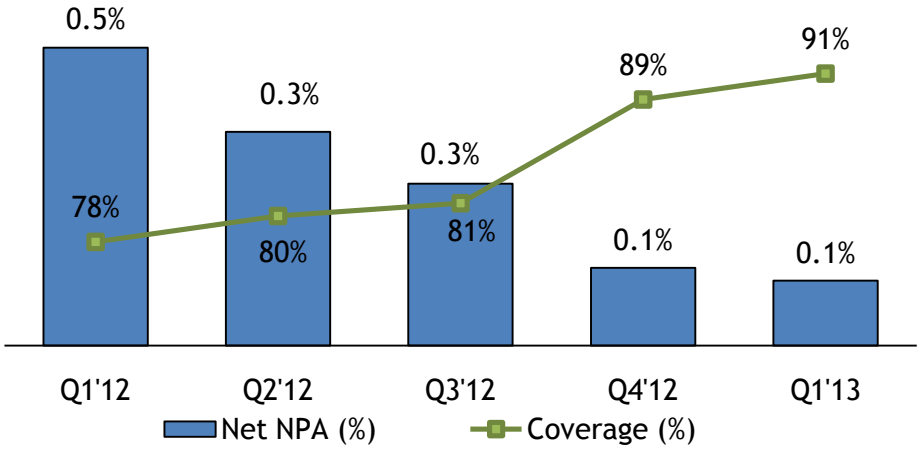

## Operating Expenses % of NII




## Loss provision ($ mn)




## Net NPA & provisioning coverage

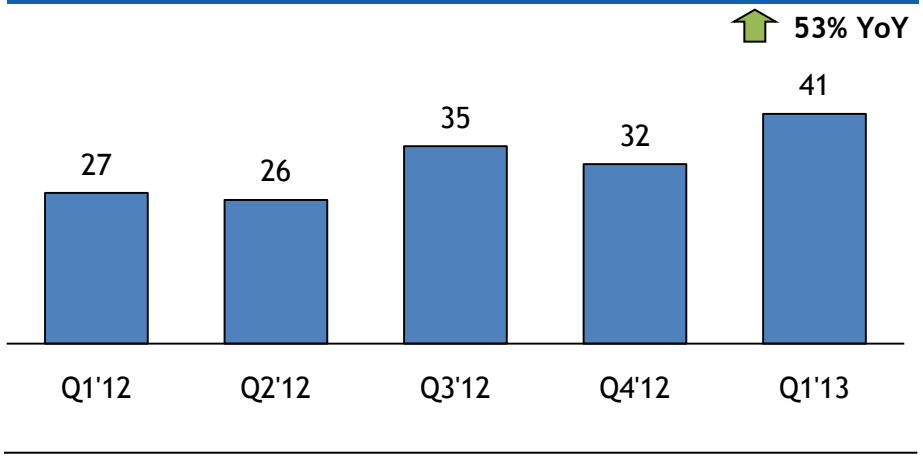



* *Q2'12 includes one time accelerated provisioning of $1.1 mn*
*# Q4'12 includes one time accelerated provisioning of $2.9 mn*

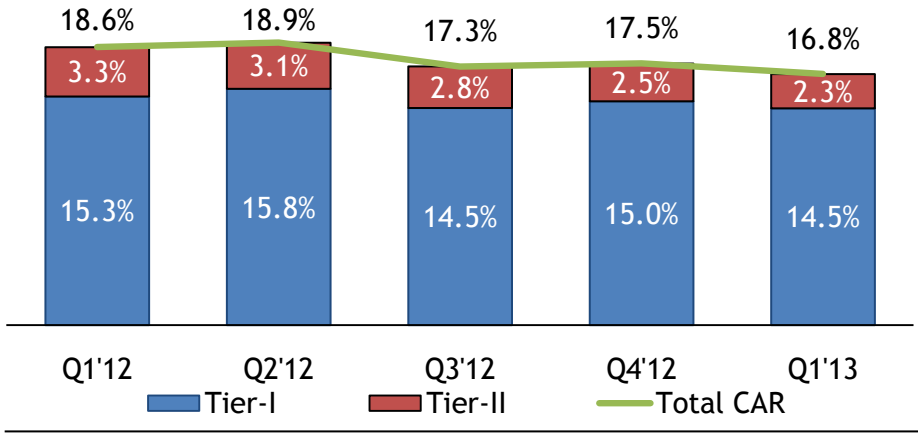
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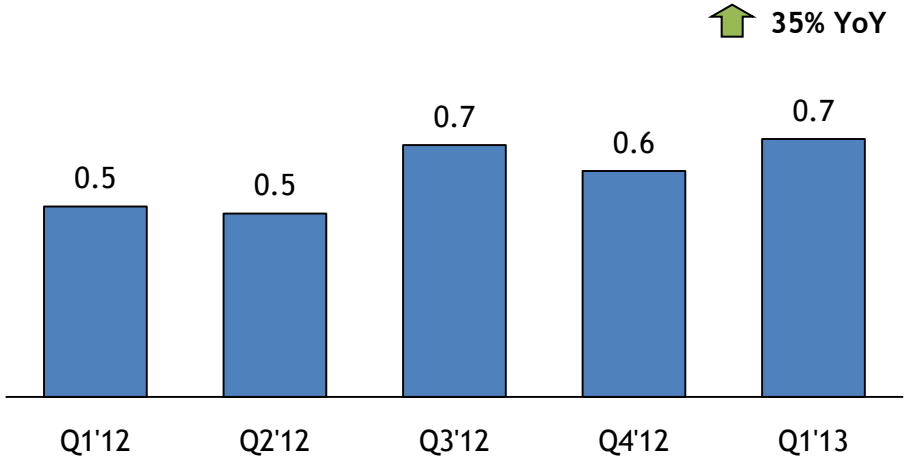
## Pre-tax profit ($ mn)



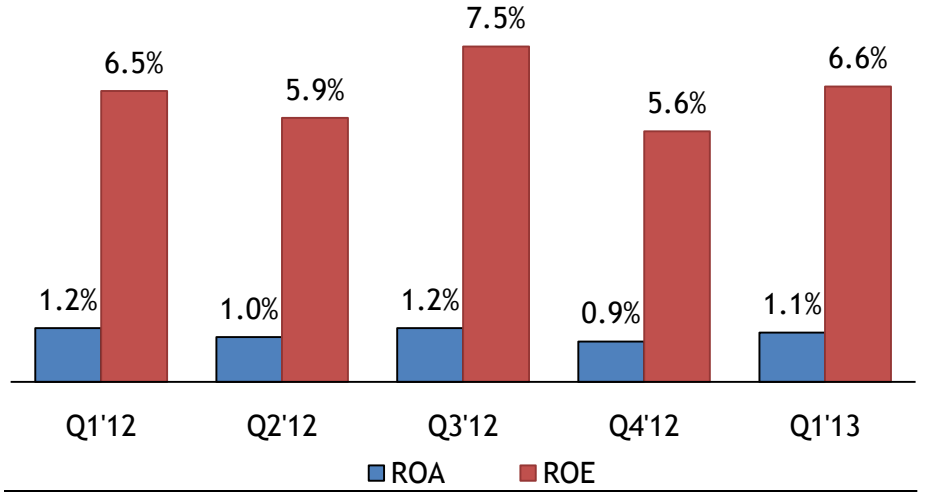

## Capital adequacy




## Earnings per share - Basic ($)



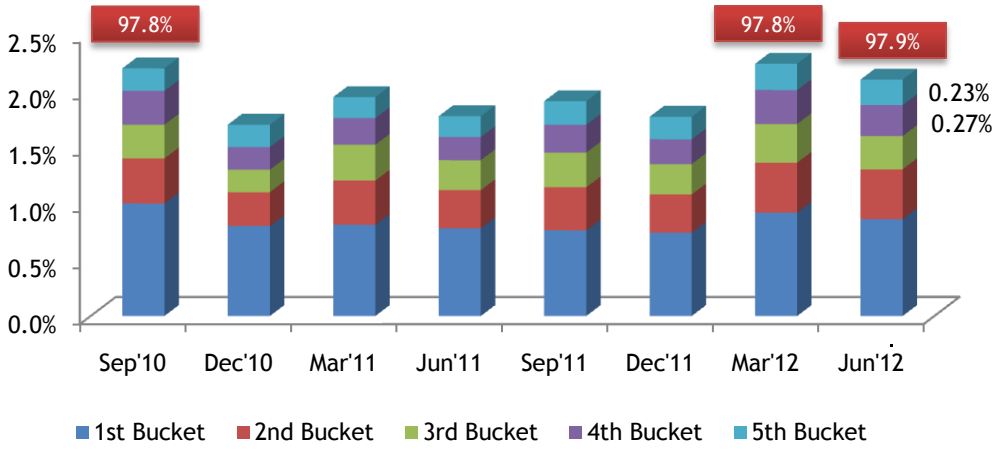

## Return on average Assets under finance & Equity



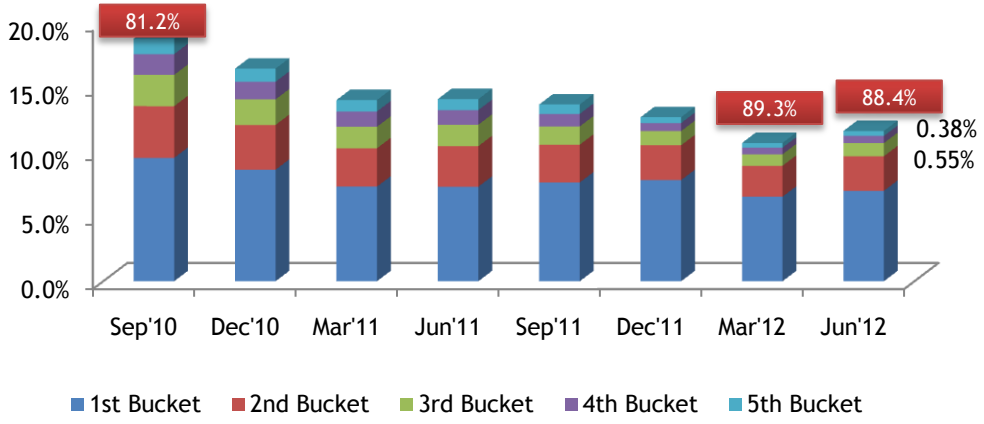
# Credit Quality of Bajaj Finance customers across products - Portfolio composition

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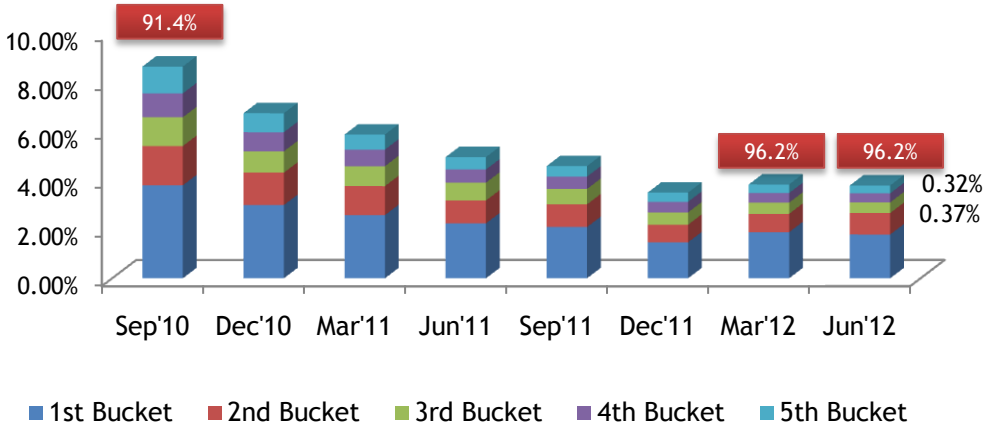
## Consumer durable loan portfolio



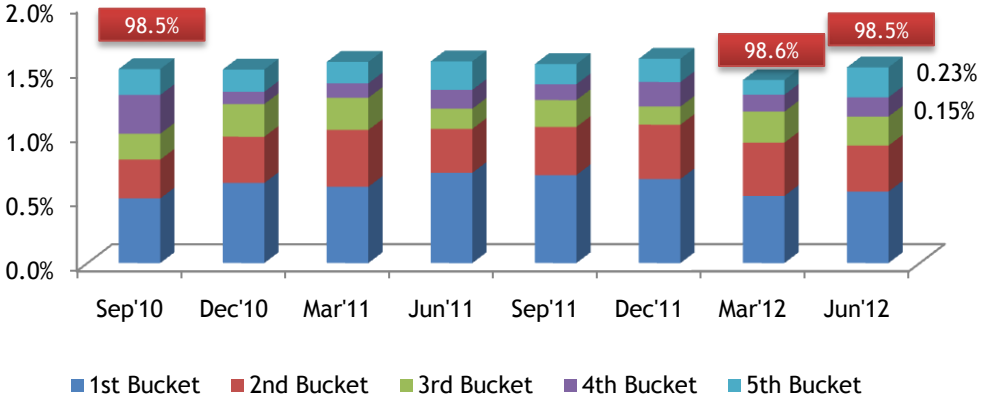

## Two wheeler loan portfolio




## Personal loan cross sell portfolio

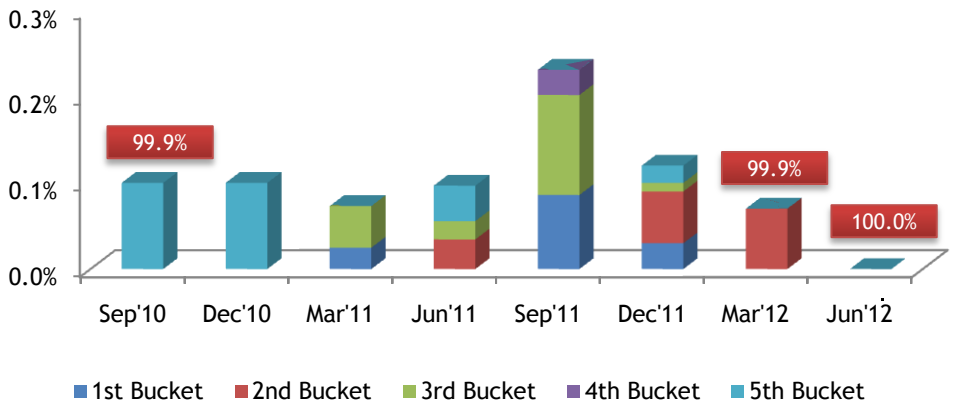



## Small Business loan portfolio

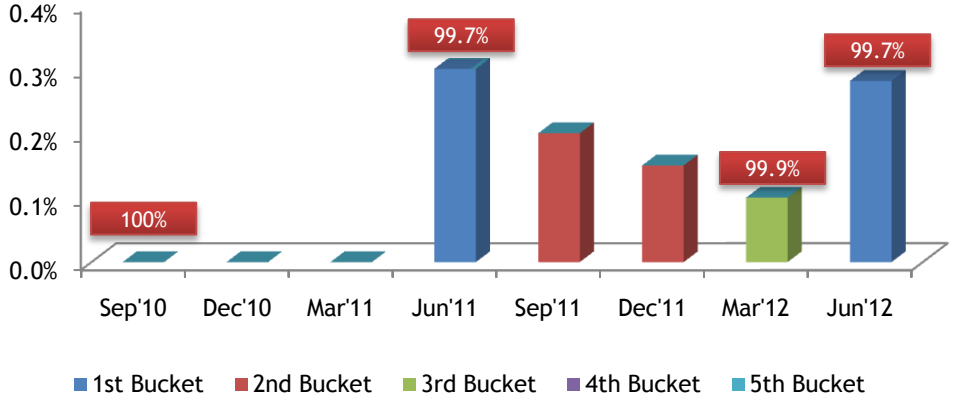


# Credit Quality of Bajaj Finance customers across products - Portfolio composition

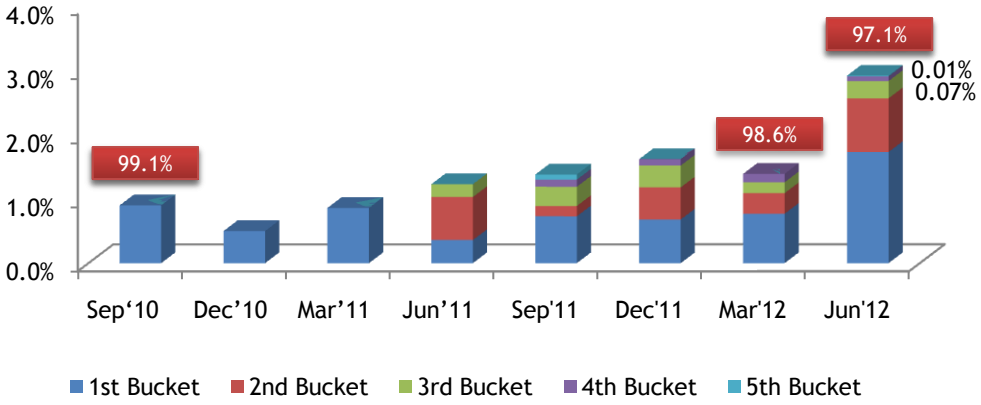
## Loan against property portfolio



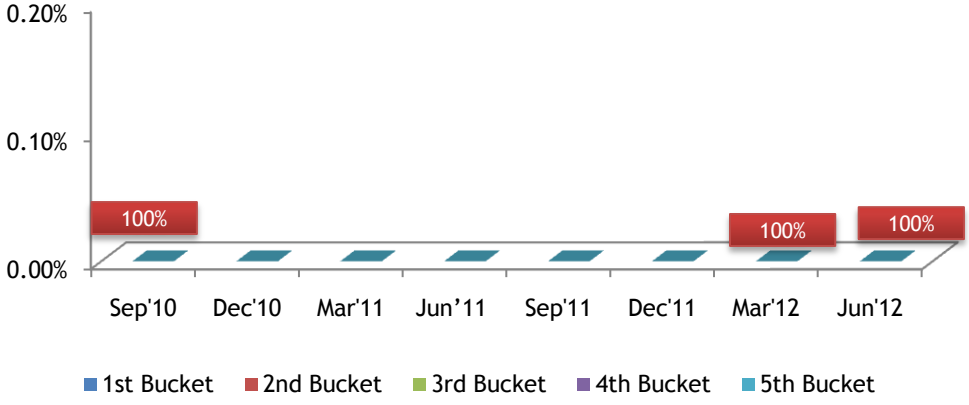

## Home loan portfolio




## Construction equipment financing portfolio




## Loan against securities portfolio



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# Bajaj Finance Limited
# Q1’13 presentation
# Thank you

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